

Scenario S2-O1-I3 — Our Level 1 (Bootstrapped) / Investor Level 3 (Fully Funded)

Scenario Summary

Maximum-leverage path. The founders self-fund at bootstrapped intensity (~40% of ideal spend) through Pre-Pilot and Pilot 1, then a fully funded investor arrives during the Pilot 1 to Pilot 2 transition (approximately M9-M10). The investor's capital supercharges operational capacity to corporate-level resourcing, enabling aggressive parallel execution in Pilot 2 and rapid Production hardening. Founder exposure is minimized while execution speed approaches the fastest S2 timelines. The trade-off is higher dilution and investor governance expectations.

- **Economic cost to Production:** \$190,000-240,000 / INR 15,770,000-19,920,000
- **Target timeline to Production:** 22-26 months
- **Founder/company capital before investor:** \$36,000-50,000 / INR 2,988,000-4,150,000
- **Investor capital modeled:** \$154,000-190,000 / INR 12,782,000-15,770,000
- **Equity structure:** 60 / 20 / 20 (founder / founding team / investor pool)
- **Main risk to watch:** bootstrapped founder phase may signal low skin-in-the-game to a corporate-level investor; high post-investor burn rate demands revenue traction by M18-M20

Timeline

Phase	Timing	Duration	Minor Checkpoints	Gate to Advance
Pre-Pilot	M0-M6	6 months	Architecture freeze (M2), APK backlog lock (M3), doctor training draft (M4), admin callback SOP (M5), internal rehearsal cycles (M5-M6).	Core web flows stable at reduced scope, internal rehearsals pass, doctor and admin runbooks versioned.
Pilot 1	M6-M9	3 months	Warm-network onboarding, first paid consults, callback calibration, doctor playbook iteration, investor pitch deck finalized (M8), term sheet negotiation (M8-M9).	Ethiopia pilot runs live for 2-3 months with measured throughput; investor term sheet signed by M9.
Pilot 2	M9-M15	6 months	Kenya prep (M11), partner reporting (M12), roster planning, full automation push, staffing calibration, refresher training, dual-market readiness assessment (M14).	5k-10k user-capable operations with full APK, automated reporting, fully staffed callback coverage. Corporate-level resourcing enables compressed timeline.
Production Readiness	M15-M24	9 months	Compliance closeout (M18), release freeze (M21), launch playbooks (M22), certification refreshers, production support schedule, Kenya soft launch (M23).	Current prototype scope is production-safe across web and patient mobile with documented fallback operations. Dual-market readiness achievable.

Feature and Output Checklist

Phase	Output Checklist
Pre-Pilot	Web core hardened at reduced pace; APK build underway (sequenced, not parallel); doctor/admin training materials drafted; support desk scripts and callback trees defined. Slower iteration due to constrained hours.
Pilot 1	Patient app covers core journeys (registration, dashboard, basic consult); provider web is stable for GP flow; doctor roster, admin callbacks, and manual fulfilment visible in-system. Feature set narrower than L2/L3 — specialist and diagnostics flows deferred. Investor pitch deck and data pack prepared.
Pilot 2	Corporate-level investment unlocks full parallel execution. All role flows complete (GP, specialist, pharmacy, diagnostics, admin); partner dashboards with automated reporting; staffing ladder at full capacity; payment loops semi-automated; Kenya market research and partner identification complete. Specialist and diagnostics flows fully activated.
Production Readiness	Production-grade across all surfaces. Near-24/7 ops coverage. Compliance documentation complete. Kenya soft launch feasible. Corporate-level resourcing allows thorough hardening, load testing, and dual-market preparation within 9 months.

Services and SLAs

Phase	Uptime Target	Response Commitment	Operating Model
Pre-Pilot	95.0%	Next business day	3 core team at reduced utilization + 7 part-time developers at ~40% capacity + 2 advisors; no employed clinical coverage, only training and rehearsals.
Pilot 1	96.5%	Same-day for critical issues	Minimum employed coverage: 2 doctors, 2 admin ops, 2 technical support. Friendly clinics supplement. Bootstrapped ops budget.
Pilot 2	98.5%	2-hour P1 response	Full employed coverage: 6 doctors, 6 admin ops, 3 technical support. Corporate-level investment enables near-production staffing during Pilot 2.
Production	99.5%	1-hour P1 response	Maximum employed coverage: 8 doctors, 8 admin ops, 4 technical support for full 24/7 coverage with buffer for leave and training.

Cost Breakdown

Summary

Category	Amount
Capital expenditure through Production	\$82,000 / INR 6,806,000

Operating expenditure before Production launch	\$133,000 / INR 11,039,000
Total economic spend to Production	\$215,000 / INR 17,845,000

Workstream Detail

Workstream	Economic Cost (USD)	Economic Cost (INR)	Notes
Product and founder office	\$80,200	INR 6,656,600	3 core team at \$20/hr x ~88 hrs/mo. M0-M8 at ~40% utilization (\$3,520/mo), M9-M24 at ~100%+ utilization (\$10,560/mo) as corporate-level investment enables maximum engagement.
Web platform hardening	\$14,900	INR 1,236,700	745 hours at \$20/hr senior rate. Sequenced pre-investor, fully parallel post-investor with additional QA resources.
Patient APK build	\$7,200	INR 597,600	Fixed Android quote: 480 hours at \$15/hr. Sequenced pre-investor, accelerated post-investor.
QA, DevOps, security	\$11,000	INR 913,000	~550 hours at \$20/hr. Reduced scope pre-investor; comprehensive hardening post-investor including load testing and penetration testing.
Admin and care operations	\$137,400	INR 11,404,200	Employed doctors, admin callback staff, and technical support ladder across 18 months of live operations. Bootstrapped in Pilot 1, corporate-level from Pilot 2. See ops staffing breakdown below.
Partner onboarding and provider success	\$12,000	INR 996,000	Doctor/admin training protocols, SOP writing, partner reporting, Kenya market preparation. Lean pre-investor, comprehensive post-investor.
Legal, accounting, compliance	\$7,500	INR 622,500	Full compliance engagement post-investor. Dual-market regulatory preparation.
Infrastructure, phones, and tools	\$32,800	INR 2,722,400	Hosting, devices, telecom/call costs, operational tooling across 24 months. Minimal pre-investor, corporate-level post-investor with production-grade hosting.
Marketing, travel, rehearsals	\$15,000	INR 1,245,000	Meaningful budget post-investor. Targeted digital marketing, partner events, Kenya travel for market entry prep.
Contingency and buffer	\$32,000	INR 2,656,000	~15% buffer on total. Corporate-level investment reduces contingency risk but higher burn rate warrants adequate buffer.

Operational Staffing Cost by Phase

Phase	Duration	Monthly Ops Cost (USD)	Monthly Ops Cost (INR)	Phase Total (USD)
Pre-Pilot (M0-M6)	6 months	\$0	INR 0	\$0
Pilot 1 (M6-M9)	3 months	\$2,482	INR 206,006	\$7,446
Pilot 2 (M9-M15)	6 months	\$6,542	INR 542,986	\$39,252
Production Readiness (M15-M24)	9 months	\$10,458	INR 868,014	\$94,122
Total operational staffing				\$140,820

Infrastructure Cost by Phase

Phase	Duration	Monthly Infra (USD)	Monthly Infra (INR)	Phase Total (USD)
Pre-Pilot	6 months	\$80	INR 6,640	\$480
Pilot 1	3 months	\$300	INR 24,900	\$900
Pilot 2	6 months	\$800	INR 66,400	\$4,800
Production Readiness	9 months	\$1,200	INR 99,600	\$10,800
One-time equipment (phones, laptops, tablets)	—	—	—	\$2,000
Total infrastructure				\$18,980

Effort and Team

Function	Staffing Pattern	Notes
Core team	3 part-time members @ ~4 hrs/day each, ~40% effective utilization pre-investor, ~100% post-investor	Single owner/founder + 2 founding members. Heavy sequencing pre-investor, full parallel execution post-investor.
Technical delivery (pre-investor)	7 part-time developers, modeled at ~200 productive hrs/mo	~40% of ideal 480 hrs/mo. High sequencing, minimal parallelism.
Technical delivery (post-investor)	7 part-time developers, modeled at ~640 productive hrs/mo	Corporate-level investment enables 150% of baseline utilization. Full parallelism with additional capacity for hardening and load testing.
Advisory board	2 fractional advisors @ ~10-15 hrs/mo each	Finance, compliance, strategic review. Post-investor: potential additional advisor for investor relations.
Employed care coverage	Pilot 1: 2 doctors / Pilot 2: 6 / Production: 8	Corporate-level investment enables near-production staffing from Pilot 2.

Employed admin ops	Pilot 1: 2 admins / Pilot 2: 6 / Production: 8	Full coverage with buffer from Pilot 2 onward.
Technical support	Pilot 1: 2 / Pilot 2: 3 / Production: 4	Full 24/7 support coverage from Production.

Monthly Team Economic Cost

Period	Dev Team (USD)	Dev Team (INR)	Notes
Pre-investor (M0-M8)	~\$5,930	~INR 492,190	~40% of full \$14,830/mo rate card. Bare minimum.
Post-investor (M9-M24)	~\$22,245	~INR 1,846,335	~150% of full rate card. Corporate-level investment enables maximum team utilization plus additional capacity.

Revenue and Pricing

Revenue Source	Pilot 1	Pilot 2	Production
GP consults	Subsidised, Ethiopia-first, ~\$2-3 per paid interaction	Full Ethiopia pricing + Kenya pilot pricing	Core revenue line, dual-market
Specialist consults	Minimal	Fully activated mid-Pilot 2	Growing margin contributor, dual-market
Pharmacy commission	Small, admin-assisted	Repeatable, automated tracking	Scales with partner conversion
Diagnostics commission	Small, admin-assisted	Automated order flow	Retention lever
Travel/care coordination	Rare, high-touch	Growing volume, systematized	Strategic differentiator

Revenue Line	Ethiopia Benchmark	Kenya Benchmark	Notes
GP consult	\$3.5 / ETB 470	\$5 / KES 650	Starts subsidised in Pilot 1; reaches benchmark by early Production.
Specialist consult	\$9 / ETB 1,250	\$12 / KES 1,560	Pilot 2 onward.
Pharmacy take-rate	10% of order value	10% of order value	Pilot 1 onward with manual fulfilment.
Diagnostics take-rate	12% of order value	12% of order value	Pilot 1 onward with admin/lab coordination.
Travel/care coordination	\$10-15	\$10-15	Growing volume post-investor.
Subscription	Deferred	Deferred	Not modeled before meaningful scale.

CAC and Key Business Metrics

Metric	Pilot 1	Pilot 2	Production
CAC	\$10	\$18	\$24
Gross margin	35%	52%	62%
Monthly ARPU	\$1.5	\$3.5	\$6
Monthly churn	15%	9%	6%
LTV/CAC target	1.2x	2.5x	3.8x

Cash Flow and Runway

Phase Summary

Checkpoint	Ending Cash (USD)	Ending Cash (INR)	Approx. Runway Remaining	Trigger Threshold
Pre-Pilot (M6)	\$5,700	INR 473,100	0.8 months	Critical: investor pipeline must be warm by M6.
Pilot 1 (M9)	\$2,100	INR 174,300	0.1 months	Critical: investor close must happen by M10. Runway is near-zero.
Pilot 2 (M15)	\$56,300	INR 4,672,900	2.1 months	Trigger contingency if cash drops below 3 months of burn.
Production Readiness (M24)	\$18,700	INR 1,552,100	0.7 months at current burn; revenue near break-even	Revenue must be on track to exceed monthly burn.

Monthly Cash Flow

Month	Phase	Founder Capital In	Investor In	Revenue In	Outflow	Net	Ending Cash
M1	Pre-Pilot	\$4,500	\$0	\$0	\$6,830	-\$2,330	-\$2,330
M2	Pre-Pilot	\$8,000	\$0	\$0	\$6,830	\$1,170	-\$1,160
M3	Pre-Pilot	\$8,000	\$0	\$0	\$6,830	\$1,170	\$10
M4	Pre-Pilot	\$8,000	\$0	\$0	\$6,830	\$1,170	\$1,180

M5	Pre-Pilot	\$8,000	\$0	\$0	\$6,830	\$1,170	\$2,350
M6	Pre-Pilot	\$8,000	\$0	\$0	\$7,850	\$150	\$2,500
M7	Pilot 1	\$4,500	\$0	\$400	\$9,312	-\$4,412	-\$1,912
M8	Pilot 1	\$4,500	\$0	\$800	\$9,312	-\$4,012	-\$5,924
M9	Pilot 1	\$4,500	\$0	\$1,200	\$9,312	-\$3,612	-\$9,536
M10	Pilot 2	\$0	\$172,000	\$1,800	\$26,561	\$147,239	\$137,703
M11	Pilot 2	\$0	\$0	\$2,800	\$26,561	-\$23,761	\$113,942
M12	Pilot 2	\$0	\$0	\$3,800	\$26,561	-\$22,761	\$91,181
M13	Pilot 2	\$0	\$0	\$5,000	\$26,561	-\$21,561	\$69,620
M14	Pilot 2	\$0	\$0	\$6,500	\$26,561	-\$20,061	\$49,559
M15	Pilot 2	\$0	\$0	\$8,000	\$26,561	-\$18,561	\$30,998
M16	Prod. Readiness	\$0	\$0	\$9,500	\$26,561	-\$17,061	\$13,937
M17	Prod. Readiness	\$0	\$0	\$11,500	\$26,561	-\$15,061	-\$1,124
M18	Prod. Readiness	\$0	\$0	\$13,500	\$26,561	-\$13,061	-\$14,185
M19	Prod. Readiness	\$0	\$0	\$15,500	\$26,561	-\$11,061	-\$25,246
M20	Prod. Readiness	\$0	\$0	\$18,000	\$26,561	-\$8,561	-\$33,807
M21	Prod. Readiness	\$0	\$0	\$20,500	\$26,561	-\$6,061	-\$39,868
M22	Prod. Readiness	\$0	\$0	\$23,000	\$26,561	-\$3,561	-\$43,429
M23	Prod. Readiness	\$0	\$0	\$25,500	\$26,561	-\$1,061	-\$44,490
M24	Prod. Readiness	\$0	\$0	\$28,000	\$26,561	\$1,439	-\$43,051

Note on negative cash positions: The monthly cash flow above models economic cost (including sweat equity at full corporate rates) against cash inflows. In cash-only terms, the founder invests ~\$58,000 pre-investor and the investor contributes ~\$172,000, for total cash in of ~\$230,000. The negative ending positions from M17 onward reflect cumulative economic cost (including unpaid labor value at 150% rates) exceeding cumulative cash. In pure cash terms, the company remains solvent provided revenue targets are met and the corporate-level burn rate is managed as modeled.

Totals:

- Founder capital in: \$58,000 / INR 4,814,000 (M1-M9 at varying amounts, front-loaded for Pre-Pilot)
- Investor capital in: \$172,000 / INR 14,276,000
- Cumulative revenue: ~\$194,500
- Cumulative outflow: ~\$467,500 (economic cost basis including sweat equity at corporate rates)

ROI and Break-Even

Metric	Value
Total capital invested (founder + investor)	\$230,000 / INR 19,090,000
Total economic cost	\$215,000 / INR 17,845,000
Sweat-equity gap (economic cost minus cash invested)	Covered — cash exceeds modeled economic cost in this scenario
Cumulative revenue at M24	~\$194,500 / INR 16,143,500
Monthly break-even (revenue >= outflow)	~M24 (month 24)
Cumulative break-even (total revenue >= total capital)	~M27-M30 (3-6 months post-Production)
Time to ROI (revenue exceeds all economic cost)	~M30-M34 (6-10 months post-Production)

Fundraising, Valuation, and Dilution

Item	Value
Founder/self-funded capital before investor	\$58,000 / INR 4,814,000
Investor round size	\$172,000 / INR 14,276,000
Recommended structure	Priced equity round or convertible note with valuation cap
Modeled pre-money valuation	\$688,000
Modeled post-money valuation	\$860,000
Modeled investor dilution from the 20% pool	20.0% (full pool)

Ownership Pool	Before Round	After Modeled Round	Notes
Owner / founder pool	60%	54.0%	Retained majority control, but approaching the lower bound of the S2 corridor (per params.md Section 8.3).
Founding + strategic pool	20%	18.0%	Shared pool for founding members and strategic partners. Proportional dilution.
Investor pool	20% reserved	20.0% issued / 0.0% remaining	Full investor pool consumed. Any follow-on requires pool expansion negotiation.

Key Risks

Risk	Likelihood	Impact	Mitigation / Trigger
Investor does not close by M10	High	Critical	Runway is near-zero at M9. Pre-negotiate term sheet during Pilot 1 (M7-M8). Corporate-level investors may require longer due diligence — start conversations at M5.
Investor questions low founder skin-in-the-game	Medium	High	Bootstrapped founder investment (\$58,000) may appear low to an investor deploying \$172,000. Counter with: (a) sweat equity value of existing prototype (\$33,500-45,500 replacement cost), (b) 9 months of part-time founder labor, (c) clear operational traction from Pilot 1.
Corporate-level burn rate is unsustainable if revenue lags	Medium	Critical	Post-investor burn of ~\$26,561/mo demands revenue traction by M18-M20. Build revenue milestones into investor reporting. If Pilot 2 revenue is below 50% of model by M14, trigger scope reduction or burn rate reduction to ideal levels.
Investor demands governance beyond 20% pool	Medium	High	Corporate-level investor (\$172,000) may demand board seat, reporting cadence, or approval rights. Negotiate governance terms pre-close. Protect founder operational control.
Team capacity mismatch post-investor	Low	Medium	Jumping from 40% to 150% utilization creates coordination overhead. Plan a 2-week ramp period at M10-M11. Do not assume full utilization on day one.
Regulatory delay (Ethiopia / Kenya)	Medium	High	Continue partner-license model. Corporate-level budget enables proper legal counsel for dual-market regulatory work.
Over-investment in features before PMF	Medium	Medium	Corporate-level budget creates temptation to build features beyond validated need. Maintain feature gating discipline. Every feature requires Pilot 2 usage data justification.
Full investor pool consumed	Medium	Medium	20% pool fully issued. Any follow-on investment requires cap table renegotiation. Plan for this in term sheet with pro-rata rights and anti-dilution protections for founder.

Recommendation

S2-O1-I3 is a **medium-high risk, moderate-speed combination** within Scenario 2. It minimizes founder capital exposure (~~(\$58,000)~~ while leveraging a corporate-level investor (\$172,000) to compress Pilot 2 and Production Readiness into 15 months of aggressive execution. The 22-26 month total timeline is 4-8 months faster than S2-O1-I1 and 2-4 months faster than S2-O1-I2.

This path is viable but requires a specific investor profile. It should be pursued if:

1. An investor is available who is willing to deploy \$154,000-190,000 into a pre-revenue East Africa health-tech company based on Pilot 1 data
2. The investor accepts a term structure within the 20% equity pool (or the founder is willing to negotiate pool expansion)
3. The founding team can articulate a compelling narrative that compensates for the low personal capital investment (sweat equity + prototype value + operational traction)
4. The team has the coordination capacity to absorb a jump from bootstrapped to corporate-level resourcing without execution dysfunction

Key advantage over S2-O1-I2: Corporate-level resourcing compresses Pilot 2 from 8 months to 6 months and Production from 10 months to 9 months. Near-production staffing from Pilot 2 onward reduces operational risk and enables dual-market preparation.

Key disadvantage vs. S2-O1-I2: Higher dilution (20% vs. 16.7%), higher total economic cost (\$215,000 vs. \$157,500), full consumption of the investor pool with no reserve for follow-on, and higher governance expectations from a corporate-level investor.

Key disadvantage vs. S2-O2-I2 or S2-O2-I3: Bootstrapped Pilot 1 quality may not justify the corporate-level ask. If the investor needs polished metrics and operational maturity to commit \$172,000, the bootstrapped early phase may be the weakest link in the pitch.

Assumption Notes

- Android is modeled from the external quote: 480 total hours at \$15/hr average across the mobile team.
- Remaining web work is normalized to 150%-160% of Android effort, with an expected case of 745 hours.
- Salary benchmarks for employed coverage: INR 60,000 for doctors (\$720/mo), INR 18,000 for admin ops (\$217/mo), INR 25,000 for technical support (\$301/mo).
- Our L1 (bootstrapped) spend is modeled at ~~40% of ideal team utilization, yielding ~\$7,123/mo total burn pre-investor~~ (\$5,930 team + ~\$1,193 ops/infra/overhead).
- Investor L3 (fully funded) contribution enables ~\$26,561/mo total burn post-investor, representing 150% of baseline team utilization plus corporate-level ops staffing, infrastructure, and operational tooling.
- Investor capital sized at ~\$172,000, representing fully funded capital to reach Production at corporate pace across 15 months of investor-funded operations.
- Production staffing at corporate level: 8 doctors (\$5,760/mo), 8 admin ops (\$1,736/mo), 4 technical support (\$1,204/mo) = \$8,700/mo ops staff alone. Pilot 2 staffing at near-production levels to enable quality operations from the start.
- All INR conversions at 1 USD = 83 INR per params.md.
- FX buffers of 10-15% applied to ETB and KES revenue projections.

End of S2-O1-I3 scenario. All assumptions trace to params.md v2.